HEADLINE JUDGMENT

Note: 9 Jul figures are intraday prints; 8 Jul is now a final close ($77.57 Brent). Bloomberg's restated continuation series (front-month CO2/CL2) in force; two gasoline series tracked (AUTMUSAG / AAA pump — score reference; USRFRUSA / DOE spot — corroboration). **Score crosses into the CRISIS band at 22/30 (from 21) — the re-escalation has become a full kinetic exchange; escalation upgrades 4→5.** On 7 Jul Iran attacked three tankers — the Qatari LNG Al-Rekayyat (engine-room fire, at risk of exploding), the Saudi supertanker Wedyan and a third by drone — all on the Oman route Iran had warned against. The US responded with **a wave of military strikes on 80+ Iranian sites** (air defenses, radar, anti-ship missiles, IRGC boats) — “turning up the volume” to “punish the regime” — and revoked Iran's oil waiver (GL X, wind-down by 17 Jul). Iran called it a “material breach” and threatened “decisive actions.” All during Khamenei's funeral. **Markets:** Brent surged to $78.34 (+$5.86 above pre-war, ~$6 premium) — oil holds 2 (below the $95 →3 trigger); WTI $73.97; TTF €49.5. The 30Y holds above 5.00% (5.08%) with MOVE climbing to 72.41 — Treasury holds 4 but →**5 is imminent** (2.6 from the 75 leg). Notably 5Y5Y eased to 2.18% (below the 2.20% line) — the market reads the oil spike as growth-negative, not a sustained inflation impulse — so US-inflation holds 3. Maritime holds 4 but →**5 is imminent**: traffic is “largely turning back.” Political 4 (gasoline lagged at $4.38); VIX 16.90 — equities still lag. This is the most serious escalation since the active-war phase; the swing is full war vs. another late-June-style stand-down. Sequencing 19 → 21 → 22.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

9 Jul 2026 readings are intraday prints; 8 Jul and earlier are final closes (restated continuation series; front-month CO2/CL2). d/d deltas are 9 Jul intraday vs 8 Jul close; w/w deltas are vs 2 Jul close.

Benchmark	Intraday 9 Jul	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	$78.34 /bbl	+$0.77 (+$6.17 w/w)	from $72.48 (+8.1%) — ~$6/bbl premium on the kinetic exchange (oil holds 2; >$95 needed for 3)	CO2 Comdty
Brent · 8 Jul close (carried)	$77.57 /bbl (vs $75.58 intraday I reported)	surged +$1.99 into the close as the US strikes on Iran landed		CO2 Comdty (Close)
WTI front-month	$73.97 /bbl	+$0.70 (+$5.32 w/w)	from $67.02 (+10.4%) — back toward the mid $70s	CL2 Comdty
Brent–WTI spread	$4.37 /bbl	+$0.07 d/d	widened	derived
Henry Hub natural gas	$3.22 /MMBtu	+$0.01 (+$0.02 w/w)	from $3.06 (+5.1%) — near pre-war; US not exposed to Hormuz	NGA Comdty
TTF Dutch gas (active)	€49.48 /MWh	+€0.45 (+€5.46 w/w)	from €31.23 (+58.4%) — surging on the LNG-tanker attacks and re-escalation	TZTA Comdty
Japan/Asia LNG (8 Jul close)	¥2,771	+¥93 (+¥143 w/w)	from ¥1,669 (+66.0%) — climbing steadily on the re-escalation and the 7 Jul Qatari LNG-tanker (Al-Rekayyat) attack	JGLA Comdty
US sanctions snapback	Treasury/OFAC revoked GL X (the June oil waiver); purchases/loadings of Iranian crude halt, wind-down by 17 Jul. Iran: a “material breach” of the MOU.			US Treasury / OFAC
EIA June STEO (9 Jun)	Brent ~$105/b Jun–Jul assumed a closed strait — the gap is narrowing fast as the strait re-escalates			EIA STEO

US Treasuries and inflation expectations — Bloomberg

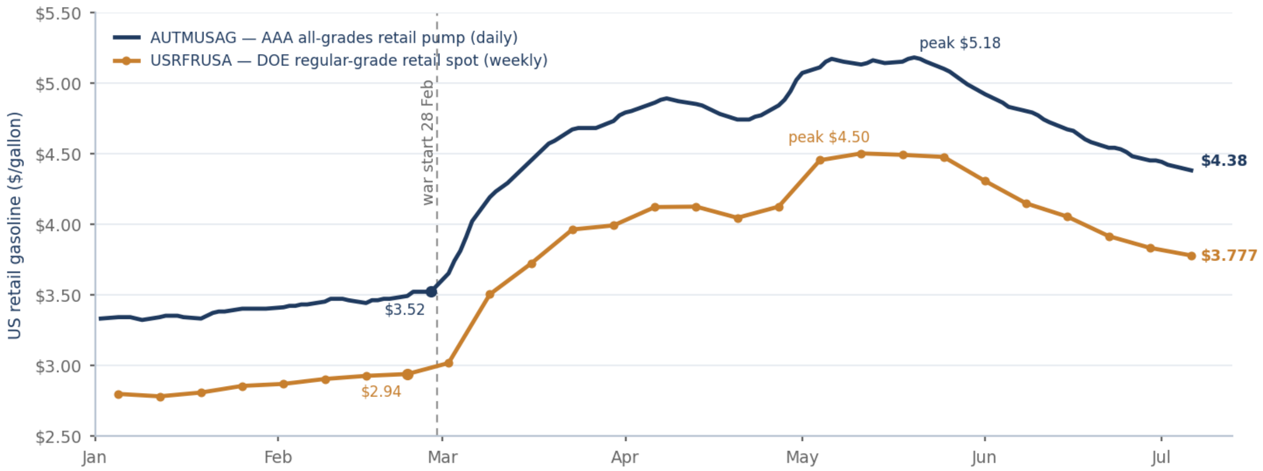
9 Jul 2026 yields are intraday. d/d deltas are 9 Jul intraday vs 8 Jul close; w/w deltas are vs 2 Jul close. The long end holds above 5.00% on the oil-driven term premium; 5Y5Y eased as the market reads the shock as growth-negative.

Tenor	Yield (%) — intraday 9 Jul	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.21	–0.8	+7.3	+84 (from 3.37%) — hawkish-FOMC level	USGG2YR Index
5-year UST	4.32	–0.7	+9.0	+82 (from 3.50%)	USGG5YR Index
10-year UST	4.58	+0.0	+9.6	+64 (from 3.94%) — 7 bp below the 4.65% trigger	USGG10YR Index
30-year UST	5.08	+0.3	+9.0	+47 (from 4.61%) — holding above 5.00% (oil/term premium)	USGG30YR Index
2s10s spread	+37 bp	+1.0	+2.3	–19 (steepest of the series)	USYC2Y10 Index
10Y breakeven inflation	2.27	+0.1	—	+1 (from 2.257%) — above pre-war on the oil bid	USGGBE10 Index
5Y5Y forward inflation	2.18	+0.2	–1.6	+4 (from 2.14%) — eased BELOW the 2.20% line (growth-negative read); US-inflation stays 3	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	∆ vs pre-war	Interpretation
DXY (dollar index)	100.99	9 Jul intraday	+3.38 (from 97.61)	Around 101 on the risk bid. Dollar firm, not a Stage-4 break.
MOVE Index (bond vol)	72.41	8 Jul (lagged)	–0.97 (from 73.38)	Climbing toward the 75 leg of the Treasury →5 trigger as the 30Y holds above 5.00%. Still below the 130 Stage-4 level.
VIX (equity vol)	16.90	8 Jul (lagged)	–2.96 (from 19.86)	Ticking up but still below pre-war — equities lag the oil/rates move; a broad risk-off has not yet materialised.
Gasoline · AUTMUSAG (AAA, all-grades pump) — score reference	$4.38 /gal	6 Jul (latest)	+$0.86 (from $3.52, +24%)	The political-stress reference (pre-war $3.52, peak $5.18). The last print pre-dates the re-escalation; the crude spike should reverse the decline with a lag.
Gasoline · USRFRUSA (DOE, regular-grade spot) — corroboration	$3.777 /gal	6 Jul (weekly)	~+$0.84 (from ~$2.94, +29%)	Regular-grade spot; peak $4.50 (11 May). Pre-re-escalation print; will re-rate up with the crude bid.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war $3.52, peak $5.18, latest $4.38); USRFRUSA (DOE regular-grade retail spot, weekly) is the complementary gauge (pre-war ~$2.94, peak $4.50, latest $3.777). Both prints pre-date the 7 Jul re-escalation and the US strikes; with Brent back above pre-war and a kinetic exchange under way, the steady pump decline is likely to stall or reverse over the coming week (refining/retail lag).

Strait operational state

Indicator	Current reading	Source
Three tanker attacks (7 Jul)	Iran struck three vessels on the Oman route: the Qatari LNG Al-Rekayyat (engine-room fire, risk of explosion), the Saudi supertanker Wedyan, and a third by drone. Iran did not claim them; state TV said a vessel ignored warnings. GCC: “a dangerous escalation.”	NPR / CBS / Qatar MFA / UKMTO
US strikes on 80+ sites	CENTCOM launched a wave of strikes on 80+ Iranian sites — air defenses, radar, anti-ship missile sites and dozens of IRGC boats — to “impose heavy costs.” A US official: “we are turning up the volume… punishing the regime.”	The Guardian / CENTCOM / PBS
Sanctions snapback	Treasury revoked GL X (the June oil waiver); Iran's Deputy FM Gharibabadi called it a “clear violation” of the Islamabad MOU and warned of “decisive actions.”	US Treasury / CBS
Traffic turning back	Maritime-security expert Ian Ralby: with the renewed strikes, “the maritime traffic is largely turning back.” The recovery has reversed; war-risk insurance is re-spiking.	PBS / LSEG
Context — funeral	The exchange came during Khamenei's dayslong funeral (body moved to Najaf/Karbala); new Supreme Leader Mojtaba Khamenei is reportedly in hiding after being wounded. Talks were already paused.	NPR / AP
Diplomatic channel open	A US official: “our negotiators continue to work in good faith towards a final deal” — leaving a path to another stand-down, as in late June.	CBS

2 · US economic shock — analysis with bond yields

The US economic shock crosses into the **crisis band at 22/30** as the strait re-escalation becomes a full kinetic exchange — three tanker attacks answered by US strikes on 80+ Iranian sites and an oil-sanctions snapback. Escalation-risk goes to 5. The market channels are elevated but not yet at Stage 4: oil carries a ~$6 premium (below the $95 line), the long end holds above 5.00% on term premium (MOVE nearing 75), and — tellingly — forward inflation eased as the market reads the shock as growth-negative. Two further upgrades (Treasury →5, maritime →5) are a headline away.

2.1 · Bond-yield transmission

9 Jul yields are intraday; d/d vs 8 Jul close, w/w vs 2 Jul. **Escalation 4→5; score 21→22.** The long end holds above 5.00% (30Y 5.08%) and 10Y is 7 bp below the 4.65% trigger, with MOVE at 72.41; the curve is at its steepest. Brent extended to $78.34, but 5Y5Y eased to 2.18%.

(i) Inflation anchor — eased below 2.20%; held at 3. 5Y5Y forward at 2.18% slipped back below the 2.20% upgrade line even as spot Brent surged — the market is pricing the oil shock as demand-destructive/transitory rather than a durable inflation impulse. 10Y breakeven

2.27% is just above pre-war. US-inflation holds at 3.

(ii) Long-end — above 5.00%; Treasury Fed-pinned at 4, →5 imminent. 30Y at 5.08% holds the price leg of the →5 trigger; MOVE at 72.41 is 2.6 points from the 75 vol leg and climbing. A MOVE break >75 takes Treasury to 5. 10Y at 4.58% is 7 bp below the 4.65% trigger — the oil re-escalation has nearly closed the gap.

(iii) Oil — ~$6 premium; held at 2, →3 on a further leg. Closes 7 Jul $74.12, 8 Jul $77.57; 9 Jul intraday $78.34; WTI $73.97. The kinetic exchange rebuilt a ~$6/bbl premium. Oil holds at 2; a sustained rally toward $95 (a full re-closure / wider war) takes it to 3; a renewed stand-down reverses it toward pre-war.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. The long end is above 5.00% with rising bond vol — Threshold B is now live.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With 30Y at 5.08%, the next long-bond auction is a live test as the sell-off extends.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Live. 30Y 5.08% is 12 bp below the 5.20% trigger; 10Y 4.58% is 7 bp below 4.65%. The re-escalation has closed most of the gap.

Threshold C · MOVE above 130. Rising. MOVE 72.41 climbed toward the Treasury →5 leg but is well below the 130 Stage-4 level; VIX 16.90. Bond vol is the channel to watch.

2.3 · Cross-asset

The re-escalation has re-established the war's cross-asset signature — oil, gas and the long end up together, the dollar firm — but with two important differences from March. First, forward inflation is easing, not rising: 5Y5Y slipped below 2.20% as the market treats the shock as growth-negative, so the US-inflation channel is not (yet) confirming. Second, equity vol (VIX 16.90) is still subdued — stocks have not priced a return to war, consistent with a market betting on another stand-down. The stress is concentrated in oil and the long end, where two channels sit on the cusp of Stage-related upgrades. Gasoline will re-rate up with the usual lag.

3 · Shock score

Total: **22/30 — CRISIS band (first crossing since the de-escalation).** Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	4/5	**Held at 4 — →5 imminent.** Three tanker attacks on the Oman route plus US strikes near the strait have traffic "largely turning back" and war-risk insurance re-spiking. Not yet a formal re-closure/blockade — a confirmed sustained collapse or an IRGC re-closure fires 5.	↑ strait re-closed / blockade reinstated / traffic collapse sustained → to 5. ↓ traffic >25% normal for 10 sessions (verified mine-free) → to 3.
Oil price shock	2/5	**Held at 2 — →3 on a further leg.** Brent $78.34 (+$5.86 above pre-war, ~$6 premium) on the kinetic exchange; WTI $73.97. Elevated but well below the $95 trigger.	↑ Brent >$95 sustained → to 3. ↓ renewed stand-down + close back at/below the $72.48 anchor → to 1.
US inflation impulse	3/5	**Held at 3.** 5Y5Y 2.18% eased BELOW the 2.20% line even as spot oil surged — the market reads the shock as growth-negative, not a durable inflation impulse; 10Y BE 2.27% just above pre-war.	↑ 5Y5Y sustained >2.20% → to 4. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 2.
Treasury stress	4/5	**Held at 4 — →5 imminent.** 30Y 5.08% holds the price leg of the →5 trigger; MOVE 72.41 is 2.6 from the 75 vol leg and climbing. A MOVE break >75 takes it to 5.	↑ 30Y close >5.00% with MOVE >75 → to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	4/5	**Held at 4.** Scored on AUTMUSAG (AAA pump): $4.38 (6 Jul), a pre-re-escalation print below the $4.75 threshold. The crude spike should stall/reverse the decline with a lag; the DOE spot ($3.777) corroborates.	↑ gasoline >$4.75 sustained → to 5. ↓ toward the $3.52 pre-war level → to 3.
Escalation risk	5/5	**UPGRADED 4→5.** A full kinetic exchange: three Iranian tanker attacks (Al-Rekayyat, Wedyan, +1) answered by US strikes on 80+ Iranian military sites and an oil-sanctions snapback; Iran threatens "decisive actions." The most serious escalation since the active-war phase.	↑ sustained war / strait formally re-closed → stays 5. ↓ renewed stand-down + talks resume → back to 4–3.
TOTAL	22/30	**CRISIS band — 21→22.** The re-escalation became a kinetic exchange, taking escalation to 5 and the score into crisis territory for the first time since the de-escalation. Two upgrades (Treasury →5, maritime →5) are a headline away. The swing is full war vs. another stand-down.	

4 · What's changed since the last edition (8 Jul → 9 Jul AM)

Score crosses into the crisis band at 22/30. Escalation-risk upgraded 4→5 as the re-escalation became a full kinetic exchange. Source: NPR / CBS / The Guardian / Bloomberg.

US strikes on 80+ Iranian sites. CENTCOM hit air defenses, radar, anti-ship missiles and IRGC boats after three tanker attacks (Al-Rekayyat, Wedyan, +1). Escalation to 5. Source: The Guardian / CENTCOM / PBS.

Sanctions snapback; Iran threatens "decisive actions." Treasury revoked GL X (the oil waiver); Iran called it a "material breach" of the MOU. Source: US Treasury / CBS.

Oil to ~$78; long end above 5.00%. Brent $78.34 (+$6 pre-war), TTF €49.5; the 30Y holds 5.08% with MOVE 72.41 (Treasury →5 imminent). Oil holds 2. Source: Bloomberg.

Forward inflation eased. 5Y5Y slipped to 2.18% (below 2.20%) despite the oil surge — a growth-negative read — so US-inflation held 3 and the →4 flagged yesterday did not fire. Source: Bloomberg.

Traffic turning back. Maritime traffic is “largely turning back” after the attacks and strikes; maritime holds 4 with →5 imminent. Source: PBS.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Stand-down again — exchange contained, talks resume	30%	As in late June, the strikes/attacks prove a bounded round; a fresh stand-down follows and negotiators (still “working in good faith”) re-engage post-funeral. The de-escalation resumes.	Brent \$70–80; 30Y 4.8–5.05%; MOVE <73; score falls back toward the systemic-risk band as oil/escalation reverse.
Slow / partial implementation	34%	Ceasefire nominally survives but normalization is now violent and stop-start — recurring attacks, the sanctions fight, mined lanes, a contested strait. The base case.	Brent \$76–92; yields firm; risk premium ~\$5–12/bbl; escalation 4–5, maritime 4–5; Treasury on the cusp of 5.
Implementation breakdown (60-day window)	15%	The sanctions snapback and strikes harden into a breakdown — the MOU lapses, Iran re-restricts the strait — short of full-scale war.	Brent \$90–108; 30Y >5.20%; risk premium \$12–20/bbl; Treasury to 5, maritime to 5; score deeper in crisis.
Ceasefire breakdown / return to war	18%	Iran's “decisive actions” and further US strikes spiral into renewed active hostilities and a formal strait re-closure. Sharply higher on the kinetic exchange.	Brent \$100–130; 10Y >4.65%; 30Y >5.20%; risk-off; score 25–28.
Major regional relapse	3%	Multi-front war with the strait re-closed/re-mined and Gulf infrastructure hit. Tail risk, raised on the escalation.	Brent \$150+; emergency policy; HY spreads >500 bp; potential dollar disorder.

Probability shifts from the 8 Jul edition: deal-holds/stand-down –14 (44→30), slow/partial –4 (38→34), implementation-breakdown +5 (10→15), ceasefire-breakdown/return-to-war +11 (7→18), regional relapse +2 (1→3). Driver: the US strikes on 80+ Iranian sites, the sanctions snapback and Iran's “decisive actions” threat shift weight sharply into the breakdown and return-to-war tails; the late-June precedent (flare-up → stand-down) and the still-open negotiating channel keep a contained outcome the single most likely individual path. The rates channel (30Y >5.00%) is the amplifier.

6 · Watchlist · next 24–72 hours

Spiral or stand down — the swing. Whether Iran's threatened “decisive actions” and further US strikes tip into renewed active war and a formal strait re-closure (escalation stays 5, maritime to 5, score 25+) or a late-June-style stand-down takes hold (escalation back to 4–3).

Maritime →5 (imminent). Traffic is “largely turning back”; a confirmed sustained collapse, a formal IRGC re-closure or a US blockade fires maritime 4→5 — watch UKMTO/JMIC advisories and insurer war-risk premiums.

Treasury →5 (imminent). 30Y holds 5.08%; a MOVE break >75 (now 72.41) with the 30Y above 5.00% takes Treasury 4→5. The next long-bond auction and CPI are the catalysts.

Oil →3. Brent \$78.34 (~\$6 premium); a sustained rally toward \$95 on a full re-closure / wider war takes oil 2→3. A stand-down reverses it toward pre-war.

Sanctions snapback / Iran's response. GL X is revoked (wind-down by 17 Jul); whether Iran's “decisive actions” are kinetic or diplomatic, and whether Washington hardens or holds, is the key signal for the MOU's survival.

Forward inflation / gasoline. 5Y5Y (2.18%) — a break >2.20% would take US-inflation to 4; gasoline (AAA \$4.38) will re-rate up with a lag, keeping political-stress at 4 (→5 only on a sustained move >\$4.75).

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO2/CL2 Comdty (Brent/WTI front-month); NGA/TZTA/JGLA Comdty; USGG2YR/5YR/10YR/20YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (AAA pump — score reference) and USRFRUSA (DOE regular spot, weekly — corroboration).

Tier 1 — news and institutional. NPR, CBS, PBS, The Guardian, Washington Times, Reuters, Bloomberg, Qatar MFA, UKMTO, GCC, LSEG; US CENTCOM, US Treasury/OFAC, State Dept, Federal Reserve. The three tanker attacks (Al-Rekayyat, Wedyan, +1), the US strikes on 80+ Iranian sites, the GL X revocation, the “material breach” / “decisive actions” exchange and the traffic reversal via NPR / CBS / The Guardian / PBS / Qatar MFA.

Tier 3 — state media (labelled). Iranian statements (state-TV “ignored warnings” framing, the FM's “material breach” / “decisive actions” language, routing claims) are labelled and corroborated against CBS / NPR / Reuters; IRNA, Tasnim, Mehr, Press TV, Xinhua, TASS used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (8 Jul); re-map columns via the robust scan (oil front-month CO2/CL2; both gasoline series; DXY col98).
2	Recompute deltas	d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 2 Jul this edition); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market channels move on a confirmed close (oil held 2; the 30Y held above 5.00% but MOVE <75, so Treasury held 4). Escalation-risk is event-based, upgraded 4→5 on the kinetic exchange. Maritime →5 and Treasury →5 flagged imminent.
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 8 Jul close surged Brent $1.99 above my intraday as the US strikes landed; 5Y5Y eased below 2.20%).
5	Update scenarios and watchlist	Re-rank near-term catalysts; lead with spiral-vs-stand-down, the maritime →5 and Treasury →5 lines, oil (→3) and Iran's response to the sanctions snapback.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger; escalation-risk is event-based — this edition it upgraded 4→5 on the kinetic exchange (three tanker attacks + US strikes on 80+ Iranian sites + the sanctions snapback), taking the score into the crisis band. Treasury (30Y >5.00% but MOVE <75) and maritime (traffic turning back, no formal re-closure yet) held at 4 with →5 flagged imminent. A hawkish FOMC still frames the Treasury channel.

Gasoline series. Political-stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war $3.52, peak $5.18, latest $4.38) for continuity. USRFRUSA (DOE regular-grade retail spot; pre-war ~$2.94, peak $4.50, latest $3.777) is tracked alongside; both prints pre-date the re-escalation and will re-rate up with a lag. See the chart in section 1.

Pre-war anchor (27 Feb 2026 close). Brent $72.48; WTI $67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) $3.52; Henry Hub $3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Brent is well above pre-war (+8.1%), WTI +10.4%; the long end (30Y >5.00%) and 10Y BE sit above; 5Y5Y (+4 bp) is above but eased below the 2.20% line; VIX is still below pre-war.

Intraday caveat. The latest dated row is a Singapore-AM intraday snapshot; US-hours trading and headlines set the close (the 8 Jul close surged $1.99 above my oil intraday as the US strikes landed). Market-channel triggers are evaluated on confirmed closes; escalation-risk is event-based. Absolute levels use the restated continuation series and are not directly comparable with pre-restatement editions, though the directional analysis is continuous.